

Quite simply, new vehicle-prone dealer loyalists prefer to minimize their effort in choosing both a dealer and their type of vehicle (i.e., new versus used). New vehicle-prone loyalists put a tremendous amount of time and effort into generating their high incomes. They believe there is significantly more money to be gained from working than from going from dealer to dealer or looking for a “real buy” on a used vehicle. This group patronizes particular dealers because they also feel that these sellers give them the best packages overall. Some of the components of “these packages” go far beyond the price and physical dimensions of a motor vehicle.

Why do these millionaires purchase new vehicles instead of used ones? Why are they less sensitive to the price variations of vehicles than are buyers of used cars? First, purchasers of new vehicles like new vehicles, although this is not the only reason they buy them. In their minds, buying new instead of used is much simpler; it requires less time and effort. To them, new vehicles are more reliable and more readily available in the models and colors and with the accessories they demand. In essence, they feel they must pay more to get more.

Yet price is somewhat important even for this group. Before they visit their favorite dealer, nearly half (46 percent) determine the dealer’s cost of a particular model. About one in three contacts at least two competing dealers to get “some feel for the impending deal.” Some study consumer magazines and other periodicals and price guides that reveal dealer cost figures. Location is another factor in understanding the behavior of this group. Many will contact dealers who are located outside their trade area, but most of these contacts are made merely to test local offers. Only about one in ten patronizes out-of-town dealers repeatedly.

There is another factor that explains the orientation of new vehicle-prone dealer loyalists:

More than one in five patronize dealers who are their clients or customers.

Networking is alive and well among the affluent in America. Many wealthy self-employed business owners believe strongly in reciprocity. Think for a moment. If you were a paving contractor, for example, where would you go to buy your vehicles? Would you buy from a stranger with